Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

27.1 Introduction to Anti-competitive Behaviours

- Meaning of anti-competitive behaviours
  - **Anti-competitive behaviours** (anti-competitive conduct) are those practices that reduce competition in a market.
- Are firms engaging in anti-competitive behaviours?
  - Some behaviours that seem to be anti-competitive can in fact logically exist in a competitive market.
  - Sometimes, firms raising their prices simultaneously may be due to an increase in production costs or, it can be a market response to an increase in demand for goods.
  - A behaviour may not be anti-competitive if it leads to a reduction of the average cost of production and lower product prices.

Evidence of a collusion between the companies is necessary to determine whether the arrangement of the companies is anti-competitive.

27.2 Major Forms of Anti-competitive Behaviours

Horizontal agreements

- A **horizontal agreement** is an agreement among actual or potential competitors in the same industry or in the same stage of production.

Form of horizontal agreement	Meaning	Effect
Price fixing	An agreement between competitors to fix, raise, maintain or otherwise control the prices of their products or services to restrict price competition.	• It allows the competitors to enjoy a higher profit. • If prices increase, consumer surplus will decrease. • It may lead to a decrease in output. • Consumers might have fewer choices.
Collusive bidding (bid rigging)	An agreement between bidders that they will not compete genuinely with each other for a certain project.	It can lead to fewer choices, lower product or service quality, and higher cost.
Market division (market sharing or market allocation)	An agreement between competitors to divide a market or a number of markets among themselves.	It allows the firms to charge higher prices and make more profits and reduce their marketing costs.
Sales and production quotas	An output limitation agreement between competitors to restrict the market supply of certain goods or services in order to raise prices.	• It can lead to a decrease in output and an increase in price. • Consumers would have fewer choices.

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Form of horizontal agreement	Meaning	Effect
Joint boycott (group boycott)	An agreement between some firms not to do business with specific suppliers or customers.	It restricts competition and prevents entry of new firms, keeping the market shares of existing firms unaffected.
Unfair or discriminatory standard	The standard agreed among existing members of a trade union to restrict the entry of new firms.	It restricts the entry of potential competitors.
Exchange of information	Agreements between competitors to exchange information that is competitively sensitive.	It may be harmful to competition.

Vertical agreements

- A **vertical agreement** is an agreement among firms engaging in different stages of production or distribution.

Form of vertical agreement	Meaning	Effect
Resale price maintenance (vertical price fixing)	A practice where suppliers set a specific resale price, a minimum price or a maximum price that distributors or retailers have to follow when they resell a certain product.	• It reduces price competition among distributors and retailers of products of the same brand. • New entrants to the market may be unable to use low prices to win market share and expand their business.
Tie-in sales and bundling of goods	• **Tie-in sales**: A buyer who buys a product (the tying product) from a firm is required to buy another product (the tied product) from it. • **Bundling of goods**: Offering two or more items together as a package at a bundled price which is usually lower than the total of the individual items' prices.	• Tie-in sales can extend the firm's market power from the tying product to the tied product. • Consumers buying bundled goods may find it more convenient and cheaper but are left with fewer choices.
Exclusive dealing	An arrangement in which a buyer (supplier) is required to deal with a supplier (buyer) only. • **Exclusive supply**: An agreement between a supplier and its buyer under which the buyer is not allowed to buy certain products from other suppliers. • **Sole distributor**: An agreement between a buyer and its supplier under which the buyer becomes the sole distributor of its supplier's products.	• Exclusive supply would raise the market share and profit of the supplier. • Sole distributors are allowed to charge higher prices and earn a higher profit.
Exclusive territory	An agreement between a retailer and its supplier under which the retailer has the sole right to sell products of the supplier in a particular territory.	The retailer does not need to face any direct competition from other retailers in the territory.

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Mergers

- A **merger** occurs when two or more independent firms are combined into a single firm.

Form of merger	Meaning	Effect
Horizontal merger	The merger of firms engaging in the same stage of production or producing the same type of product.	• The number of competitors in the market decreases. • The merged firm possessed greater market power to influence the market price.
Vertical merger	The merger of firms engaging in different stages of production. • **Vertical backward merger:** merging with a firm engaging in the previous stage of production. • **Vertical forward merger**: merging with a firm engaging in a latter stage of production.	• The merged firm possesses greater market power to influence the market price. • A vertical backward merger can prevent competitors from getting inputs. • A vertical forward merger can restrict the sales channel of competitors.
Potential competition merger	The merger of a firm with another firm which plans to enter the market.	The number of potential competitors decreases.

Abuse of a dominant market position

- A firm is considered a **dominant firm** if it has a substantial degree of market power.
- **Abuse of dominance** occurs when a dominant firm engages in anti-competitive practices that cause damage to competitors or create an entry barrier for potential competitors in order to maintain or strengthen its position in the market.

A firm with a large market share may not engage in abuse of dominance.

Example of abuse of dominance	Meaning	Effect
Predatory pricing	A dominant firm sets a price below the cost of production.	• It can drive competitors out of the market, or prevent potential competitors from entering the market. • The dominant firm can charge a higher price to gain more profit. Consumers will have fewer choices and the quality of products may be lower.
Margin squeeze	A vertically-integrated dominant firm increases the prices of raw materials supplied to downstream competitors.	• It can prevent downstream competitors from making a profit in a downstream market. • It can also drive downstream competitors out of the market in which the dominant firm is also active.
Refusal to supply essential facilities	A dominant firm refuses to supply an input to its competitors, or supplies that input only on unreasonable terms.	The competitors cannot enter the market to compete with the dominant firm.

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27.3 Impacts of Anti-competitive Behaviours



Anti-competitive behaviours may benefit consumers in some situations, e.g. tie-in sales and bundling of goods allow consumers to enjoy the lower prices offered.

- Higher market prices
- Reduction of the number of competitors
- Lower output
- Lack of choices for consumers
- Efficiency loss
- Lower product quality
- Lack of incentive to innovate

27.4 The Competition Ordinance in Hong Kong

- **Competition policy**: A set of guidelines, rules and regulations governing market competition.
- Objectives of the Competition Ordinance are to:
  - prohibit conduct that prevents, restricts or distorts competition in Hong Kong
  - prohibit mergers that substantially lessen competition in Hong Kong
  - establish a Competition Commission and a Competition Tribunal
  - provide for incidental and connected matters
- The **first conduct rule** prohibits an undertaking from:
  - making or giving effect to an agreement;
  - engaging in a concerted practice; or
  - making or giving effect to a decision made by an association of which the undertaking is a member,

  if the agreement, concerted practice or decision has the object or effect of preventing, restricting or distorting competition in Hong Kong (‘harming competition’).
- The **second conduct rule** prohibits an undertaking that has a substantial degree of market power in a market from abusing that power by engaging in conduct that has as its object or effect the prevention, restriction or distortion of competition in Hong Kong. The following conduct may be considered an abuse of market power:
  - conduct involving predatory behaviour towards competitors.
  - conduct involving limiting production, markets or technical development to the prejudice of consumers.

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- Serious anti-competitive conduct under the Ordinance consists of any of the following or any combination of the following:
  - fixing, maintaining, increasing or controlling the price for the supply of goods or services
  - allocating sales, territories, customers or markets for the production or supply of goods or services
  - fixing, maintaining, controlling, preventing, limiting or eliminating the production or supply of goods or services
  - bid rigging
- Exclusions and exemptions

	Exclusion or exemption from the first conduct rule	Exclusion or exemption from the second conduct rule
agreements enhancing overall economic efficiency	✓	/
compliance with legal requirements	✓	✓
services of general economic interest	✓	✓
mergers other than those involving an undertaking in the telecommunications sector	✓	✓
agreements of lesser significance	✓	/
conduct of lesser significance	/	✓
agreements that are exempted on public policy ground	✓	✓
agreements avoiding conflict with international obligations	✓	✓
statutory bodies, specified persons and persons engaged in specified activities	✓	✓
block exemption orders	✓	/

- The implementation of the Ordinance in Hong Kong
  - To facilitate the implementation of the Competition Ordinance, the **Competition Commission** and the **Competition Tribunal** have been established.

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